

CAPITAL MARKETS

88% LTC Construction Loan Shows Time Is the Most Expensive Part of the Capital Stack

A \$115.5M nonrecourse construction loan in Fort Collins reveals how lenders are pricing execution risk, not just credit risk.

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A source-grounded Light Tower Insight.

A \$115.5 million construction loan at 88 percent loan-to-cost is not a bet on Fort Collins apartment demand. It is a bet on time.

Concord Summit Capital arranged the nonrecourse financing for Livmark Communities' Collins at Union Park, a 457-unit project in northern Colorado. Sitework is underway. Vertical construction starts in days. The loan is large, the leverage is high, and the recourse is absent. But the most revealing number is not the dollar amount or the LTC. It is the gap between today's start and the day the first certificate of occupancy lands.

Construction lending has become a business of pricing the interval between entitlement and stabilized cash flow. That interval is where the risk lives. Materials costs can shift. Trade labor availability can tighten. Municipal timelines can stretch. And the leasing market that greets the first units may look nothing like the underwriting pro forma. A lender willing to write an 88 percent nonrecourse construction loan is not ignoring those risks. It is charging for them in the structure.

The reported terms do not include the interest rate, the maturity date, or the required debt yield at stabilization. Those details would sharpen the picture. But the 88 percent LTC alone signals that the lender is providing nearly all the capital for the hard and soft costs, leaving the sponsor with a thin equity cushion. That means the lender's recovery depends almost entirely on the project being completed on time and on budget, and then leasing up at the underwritten rents.

Nonrecourse construction debt is not new. But it became scarcer after 2022, when rate volatility and construction cost inflation made lenders demand more sponsor equity and more recourse protection. The return of 88 percent LTC nonrecourse financing in mid-2026 suggests that lenders have recalibrated their risk appetite for the right sponsors and the right markets. Fort Collins has a growing employment base, a constrained supply pipeline, and a demographic profile that supports multifamily absorption. The lender is not betting on the

national economy. It is betting on that specific demand trajectory holding for the next 24 to 36 months.

The cast of parties reveals the incentive map. Livmark Communities needs the capital to execute. It is a developer, not a permanent holder. Its clock runs from groundbreaking to stabilization, at which point it will likely seek a permanent loan or a sale. The lender needs the project to be completed and leased within a timeframe that allows the debt to be refinanced or repaid. Concord Summit Capital, as the intermediary, needs both sides to believe the timeline is credible. The broker's reputation is on the line if the project stalls.

The mechanism producing the pressure is the construction timeline itself. Every month of delay adds interest carry, extends the period before rent revenue begins, and compresses the sponsor's equity return. At 88 percent LTC, the sponsor's equity is thin enough that a six-month delay could wipe out the projected profit. The lender knows this. That is why the underwriting focuses on the sponsor's track record, the contractor's capacity, the municipality's permitting speed, and the pre-leasing strategy. The loan is not just a credit decision. It is an execution decision.

My read is that this deal tells us more about the lender's view of execution risk than about the broader availability of construction debt. Construction lending is not flowing freely across the board. It is flowing to projects where the timeline is credible, the market is undersupplied, and the sponsor has a history of delivering. That is a narrower aperture than the 2021 market, but wider than the 2023 market. The shift is real, but it is selective.

What should market participants test next? Owners with construction projects in the pipeline should ask whether their timeline assumptions still hold. A pro forma written in 2024 that assumed 18 months to completion and 12 months to stabilize may now face a 24-month construction window and a 15-month lease-up. That changes the debt service coverage and the exit cap rate. Lenders will underwrite to the current timeline, not the original one. Sponsors who cannot demonstrate a credible path to completion and lease-up will find that 88 percent LTC is not available to them.

For lenders, the question is whether the nonrecourse structure survives the first major delay. If a project runs into a six-month permitting holdup or a concrete strike, the lender's only remedy is to work out the loan or take the asset. Nonrecourse means the sponsor can walk away from the equity. The lender is left holding a partially built project in a market that may have shifted. That risk is real, and it is why the underwriting must be more than a spreadsheet exercise. It must be a timeline exercise.

The deal is not proof that construction lending is back. It is proof that construction lending is available for projects where the clock is the sponsor's friend, not the lender's enemy. Time is the most expensive part of the capital stack. The lender is betting that Livmark Communities can control it.